3.1 A Young Nation Expands

Being part of a strong family or a successful organization makes members proud to belong to that group. The same kind of pride developed in the early 1800s among Americans witnessing the massive changes in transportation and commerce in the United States.

MAIN IDEA Americans developed a strong national identity during the administrations of presidents James Madison and James Monroe.

TRANSPORTATION AND COMMERCE

The market revolution changed how people worked, traveled, and did business. Eventually, it also encouraged a new philosophy of **nationalism**. Nationalism is the concept of loyalty and devotion to one's nation.

Congressmen **Henry Clay** and **John C. Calhoun** argued for tariffs, or taxes on imported goods, to promote American manufacturing and stimulate commerce. In 1816, Calhoun was instrumental in establishing the Second Bank of the United States. Clay and Calhoun also supported government **subsidies**, or government funds for improvements or support of commerce. Land subsidies, or land granted to private companies by the federal government, became an important part of building roads and railroads. Clay, Calhoun, and others engaged in heated debates with other legislators who favored a more limited federal government role in financing a national infrastructure. Ultimately, tariffs on import goods, the establishment of the National Bank, and government subsidies became known as the **American System**.

Under the American System, improvements in road systems, trains, and waterways united the country geographically and culturally. In 1817, construction began on the **Erie Canal**, which stretched from Buffalo near Lake Erie in western New York to Albany. The Hudson River connected Albany to New York City. When the canal was completed eight years later, farmers could ship their crops within the state and to international destinations through the port at New York City. The canal also encouraged the development of more industrial sites because improved transportation made it easier to move goods to markets.

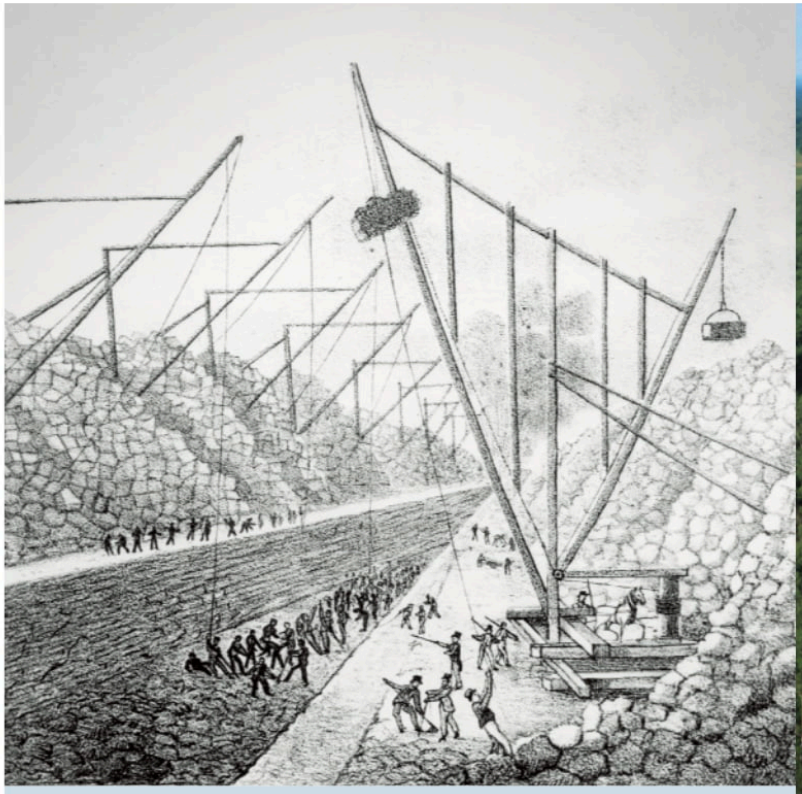
The **Illinois and Michigan Canal,** completed in 1848, connected Lake Michigan to the Illinois and Mississippi rivers near the city of Chicago. After the construction of these canals, crops and manufactured goods could be shipped all the way from New York City to New Orleans on a water route. The canals also made it easier for people to move their families and belongings west.

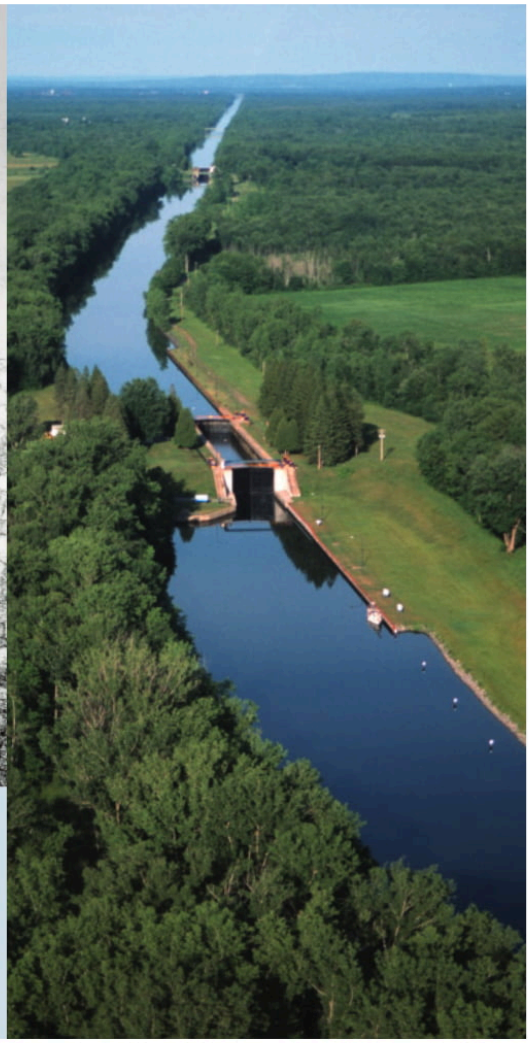
NEW BOUNDARIES, NEW DECISIONS

At the same time, the nation was growing in size. General Andrew Jackson became a hero with his successful military campaigns in the War of 1812, including victory in the Battle of New Orleans. His reputation grew when he subdued Native Americans in the Southeast and wrested Florida from Spanish control. Under the terms of the Transcontinental Treaty of 1819, the United States formally received Florida from Spain and gave Spain sovereignty over Texas.

The years that followed the War of 1812 were fairly peaceful and smooth. Territorial conflicts with other nations were temporarily settled, and the economy was growing. The administration of **James Monroe**, who was elected president of the United States in 1816, is remembered as the **Era of Good Feelings**. When Monroe ran for re-election in 1820, the Federalist Party didn't even offer a candidate to oppose him. By 1820, the Federalist Party was no longer a national force.

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The Erie Canal, Then and Now
Cranes powered by horses lifted buckets of rock from the canal bed, swung them around, and dumped the rocks at the top of the canal bank. George Catlin's 1825 lithograph, *Process of Excavation, Lockport,* illustrates the ingenuity of this process. The original canal had 83 locks. The photograph at right is a present-day aerial view of the Erie Canal and two of the 35 modern locks positioned on the canal.

During this period, important Supreme Court rulings strengthened the federal government's power. In 1819, the Court affirmed the constitutionality of the Second Bank of the United States in the *McCulloch* v. *Maryland* decision. According to the Necessary and Proper Clause in the Constitution, Congress has **implied powers**, or powers not explicitly stated in the Constitution. In short, because a National Bank had previously been established, Congress could establish the Second Bank of the United States. Additionally, the state of Maryland did not have the power to tax that national bank.

In 1824, the case of *Gibbons* v. *Ogden* expanded federal control over interstate commerce, or business affairs between states. Aaron Ogden, who owned steamboats that traveled on the Hudson River, sued Thomas Gibbons for running steamboat operations in the same waters. Gibbons argued that Congress alone had the power to regulate interstate commerce, and that New York had been wrong to grant Ogden the sole right to running his steamboats in the waterway in the first place. The Court ruled in favor of Gibbons to prevent the formation of a **monopoly**, or complete control of an industry by one company. More importantly, the decision solidified the federal government's power to regulate interstate commerce by eliminating the individual states' sole control over it.

HISTORICAL THINKING

1. **READING CHECK** Why did nationalism grow stronger during the administrations of Madison and Monroe?
2. **DRAW CONCLUSIONS** What parts of the American System are still in effect today?
3. **SUMMARIZE** Why is Monroe's presidency remembered as the Era of Good Feelings?

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